

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester I Examination, 2023-24

Paper No. BCF-114: Business Organisation

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. “Every business owes an obligation towards society.” Comment on this statement and explain the scope and rationale of a business organization. [14]

OR

“Entrepreneurship is the process of planning, organizing, operating and assuming the risk of a business venture.” In the light of this statement, discuss the concept and importance of entrepreneurship. [14]

Question 2. “The governing principle is that a plant should be so located as to permit the production of the product at the lowest cost per unit.” Throw light on this statement and describe the determinants that should be taken into account in deciding the location of a plant. [14]

OR

What is a plant layout? Discuss the factors affecting it. [14]

Question 3. Analyze the nature and scope of industrial combination. What are the major impacts of such combination towards society? [14]

OR

Write short notes on the following: [14]

(a) Types of industrial combination

(b) Consolidation

Question 4. “A sole proprietor is the owner, entrepreneur, financier and manager of his business.” In the context of this statement, explain the characteristics of a sole proprietorship. Differentiate between Sole Proprietorship and Partnership forms of organization. [14]

OR

Clearly distinguish between Partnership and Company forms of organization, and mention their relative merits and demerits. [14]

Question 5. As the financial manager of a newly started business of a large size, what various sources would you tap to raise the long-run funds required for its smooth running? Explain. [14]

OR

“Finance is the life blood of business.” In reference to this statement, identify and discuss in detail the various factors that need to be kept in mind before raising funds for a large business house. [14]